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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

FIRST SEMESTER MGU - UGP (HONOURS) EXAMINATION NOVEMBER 2024
MG1DSCHBM100-FUNDAMENTALS OF HOTEL ACCOUNTING

ANSWER KEY

PART A
Answer any 10 questions, each questions carries 2 marks

1. Single entry : Incomplete record of business transactions.
2. Cost Accounting : Branch of accounting related to measurement and control of cost.
3. Credit transactions: It refers to financial transactions where goods, services, or money are provided by one party to another with the promise of payment at a later date . Transactions which do not involve cash.
4. Bad debt : It is a debt that is considered uncollectible, often due to the debtor's inability to pay, such as when they are facing financial difficulties or bankruptcy. Debt which we cannot recover from debtors.
5. Historical record concept: It refers to the collection, documentation, and preservation of information, events, or facts from the past.Transactions which actually took place should be recorded according to date wise order.
6. Full disclosure concept: It requires companies to provide all relevant, material information in their financial statements and other reports. The goal is to ensure transparency and to give stakeholders a complete and accurate picture of the company's financial health and operations.
7. GAAP : stands for **Generally Accepted Accounting Principles**. It is a set of accounting standards, principles, and procedures used in the preparation of financial statements in the United States. GAAP provides a framework for consistent, transparent, and comparable financial reporting, ensuring that financial statements are reliable, accurate, and comparable across different companies and industries.
8. Prudence concept : It refers to the principle that when faced with uncertainty in financial reporting, accountants should adopt a cautious and conservative approach. The idea is to avoid overestimating revenues or assets and underestimating liabilities or expenses. Anticipate no profit provide for all possible losses.
9. Materiality concept : It refers to the principle that financial information should be included in the financial statements if its omission or misstatement could influence the decision-making of users of those statements.
10. Matching concept: The matching concept is the principle that requires companies to match their revenues with the expenses incurred to generate those revenues within the same accounting period. This ensures that a company’s financial statements provide an accurate and fair representation of its financial performance during a specific period.
11. Real account rule: Debit what comes in
    Credit what goes out
12. Personal account: It refers to an account that is associated with individuals, businesses, or organizations.

13. Accrual system of accounting: It is an accounting method that recognizes and records financial transactions when they occur, regardless of when the cash is actually received or paid.

14. Cash system of accounting: It is an accounting method in which transactions are recorded only when cash is actually exchanged.

15. Mercantile system of accounting: It is an accounting method that recognizes and records financial transactions when they occur, regardless of when the cash is actually received or paid.

PART B

Answer any 4 questions, each questions carries 5 marks

16. Asset : Anything that has economic value. Ex: Land, cash

Liability : Money taken from outsiders other than owners . Ex: Bank loan, creditors

Capital : Amount invested by the owner in order to start a business.

17. Cash discount : A cash discount is a reduction in price offered to a buyer as an incentive for paying their invoice early. It is often offered within a specific period after the sale. Its purpose is to encourage prompt payment and improve the seller's cash flow.

Trade discount : A trade discount is a reduction in price offered to a buyer, usually based on the volume of purchase or the buyer's status (such as wholesalers or retailers), and is typically offered at the point of sale.

18. Characteristic of Accounting Principles:

A) Relevance b) Reliability c) Consistency

D) Comparability e) Understandability f) Materiality etc

19. Advantages of double entry system:

A) Accuracy b) Complete financial picturec) Prevention of fraud

E) Better financial management f) Enhanced reporting etc.

20. Real a/c : Sales , Cash, Building

Personal a/c: Drawings, Outstanding salary,Prepaid rent, Bank, Chandrasekhar ,Outstanding rent

Nominal a/c : Discount received, Advertisement.

21. Accounting Equation:

Asset= Liability + Capital

Liability= Asset - Capital

Capital= Asset-Liability

PART C

Answer any 1 question, each question carries 10 mark

22. Definition: Accounting is an art of recording, classifying and summarising in a significant manner in terms of money transactions and events which are in part at least of a financial character and interpreting the result thereof.

Branches : 1) Financial accounting

2) Cost Accounting

3) Management accounting

Limitations:

1.Historical nature

2. Subjectivity

3. Non-financial information

4. Inflation and price changes

5. Lack of real time information

6. Short-term profitability

23. **Accounting conventions**:

These are broad guidelines or principles that are generally accepted by accountants to ensure consistency and uniformity in the preparation of financial statements.

1. **Matching concept**: The matching concept is the principle that requires companies to match their revenues with the expenses incurred to generate those revenues within the same accounting period. This ensures that a company's financial statements provide an accurate and fair representation of its financial performance during a specific period.

2.**Full disclosure concep**t: It requires companies to provide all relevant, material information in their financial statements and other reports. The goal is to ensure transparency and to give stakeholders a complete and accurate picture of the company's financial health and operations.

3.**Materiality concept**: It refers to the principle that financial information should be included in the financial statements if its omission or misstatement could influence the decision-making of users of those statements.

4. **Consistency concept** : The Consistency Concept is an important accounting principle that requires a company to use the same accounting methods, procedures, and policies from one period to the next, unless a change is absolutely necessary or justified. This ensures that financial statements are comparable over time, allowing stakeholders to make meaningful comparisons of financial performance.

5. **Conservatism concept**: The Conservatism Concept in accounting, also known as the Prudence Concept, is a fundamental accounting principle that advises accountants to exercise caution when making estimates or judgments. The concept suggests that potential expenses and liabilities should be recognized as soon as they are probable, but revenues and assets should only be recognized when they are certain.

24.**TYPES OF ACCOUNTS.**

1) **Real a/c** - Account related to assets or properties

Ex: Land,cash

Rules: Debit what comes in

Credit what goes out

2) **Personal a/c** : Account related to name of a person,company or a business firm.

Ex: Rajus a/c , SIB A/c

Rules: Debit the receiver

Credit the giver

3) **Nominal a/c** : Account related to expenses,losses,income or gains.

Ex: Salary a/c, Discount a/c

Rules: Debit all expenses/losses

Credit all income/gain